

Ania's Coffee Cart

An illustrated guide to the basic accounting conventions,
or how to remember what you read, hear and practise when you study accounting

One small business. One month. 13 everyday transactions, and where each one lands on the balance sheet, income statement and cash flow statement.

Assets = Liabilities + Equity

12 conventions

Business entity convention	The business and the owner are separate. Keep their money apart.
Money measurement	Only things you can measure in money go in the books.
Reporting period	Chop the life of a business into months or years so you can report on each one.
Going concern convention	Assume the business will keep running and has no plan to sell off its assets.
Historic cost convention	Record things at what you actually paid.
Dual aspect convention	Every transaction has two sides, so A = L + E always balances.
Accruals convention	Profit is revenue earned minus expenses used up, not cash in minus cash out.
Revenue recognition	Count revenue when you have earned it by delivering the goods or service.
Matching convention	Put expenses in the same period as the revenue they helped earn.
Prudence convention	When unsure, don't overstate what you have or what you earned. Record losses early, gains only when sure.
Materiality convention	Small amounts that would not change anyone's decision can be handled the simple way.
Consistency convention	Once you pick a method, keep using it, so periods can be compared.

Debit & credit

Every entry has a left side (Dr) and a right side (Cr), and they must be equal. That is why A = L + E always balances.

Dr
Debit = the left side

Polish: Wn (Winien) · Russian: Дт (дебет)

Cr
Credit = the right side

Polish: Ma · Russian: Кт (кредит)

ACCOUNT TYPE	GOES UP WITH	GOES DOWN WITH	ENDS UP ON
Assets (cash, inventory, machine)	Dr	Cr	Balance sheet
Expenses (rent, wages)	Dr	Cr	Income statement
Liabilities (loan, unpaid bills)	Cr	Dr	Balance sheet
Equity (owner's capital)	Cr	Dr	Balance sheet
Revenue (sales)	Cr	Dr	Income statement

Cash

	Dr · money in		Cr · money out
strip 1	10,000	strip 3	6,000
strip 2	5,000	strip 4	1,500
strip 6	4,000	strip 9	800
strip 8	1,000	strip 10	1,500
	20,000		**9,800**

Balance 10,200 Dr → Cash on the balance sheet

Memory trick: DEALER

D E A

grow with Dr

L E R

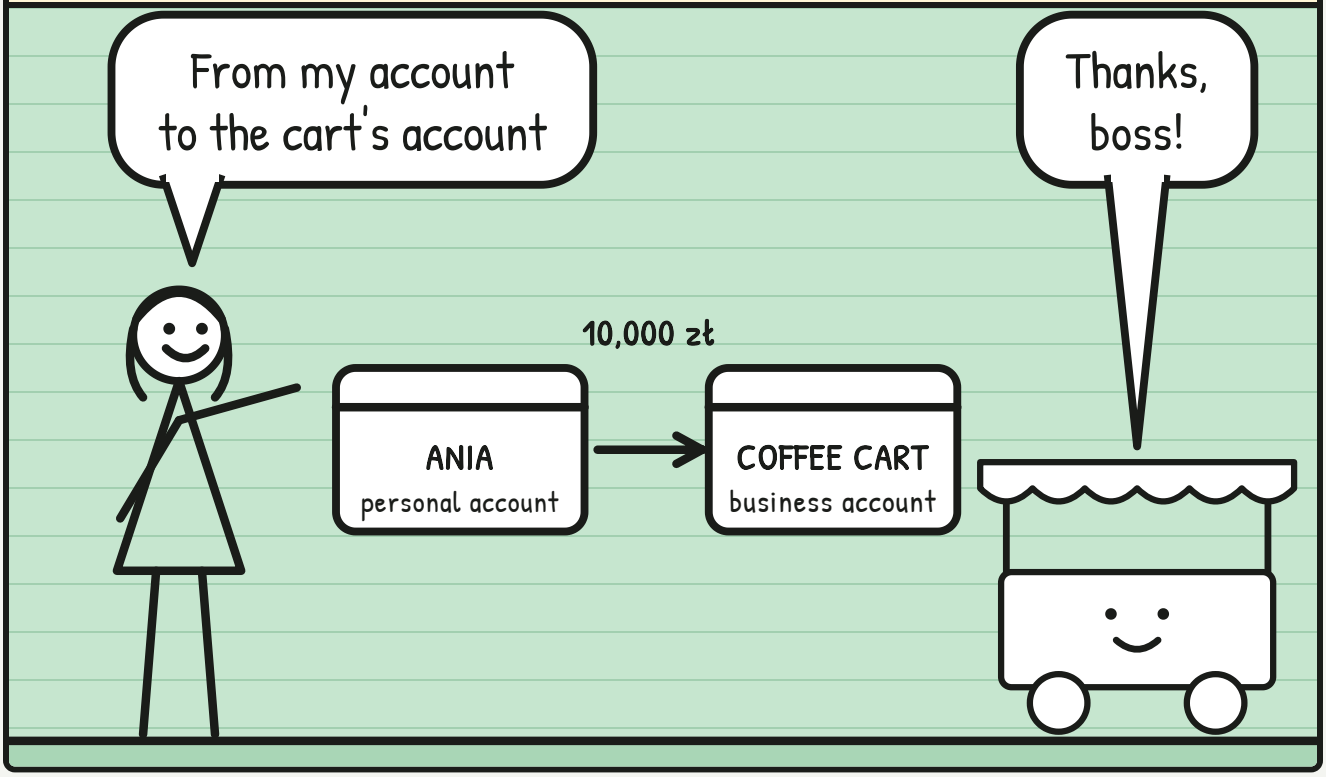
grow with Cr

Drawings, Expenses, Assets grow with Dr.
Liabilities, Equity, Revenue grow with Cr.

Opening the business account

PRINCIPLE: BUSINESS ENTITY CONVENTION

Day 1. Ania moves 10,000 zł of her own savings into a new bank account opened just for the cart.



WHAT THE ACCOUNTANT WRITES

Dr	Cash	10,000
Cr	Owner's capital	10,000

WATCH OUT

Ania's groceries are not cart expenses. Mixing personal and business money breaks this rule.

WHERE IT LANDS

BALANCE SHEET

Cash +10,000 · Owner's capital +10,000

INCOME STATEMENT

no change

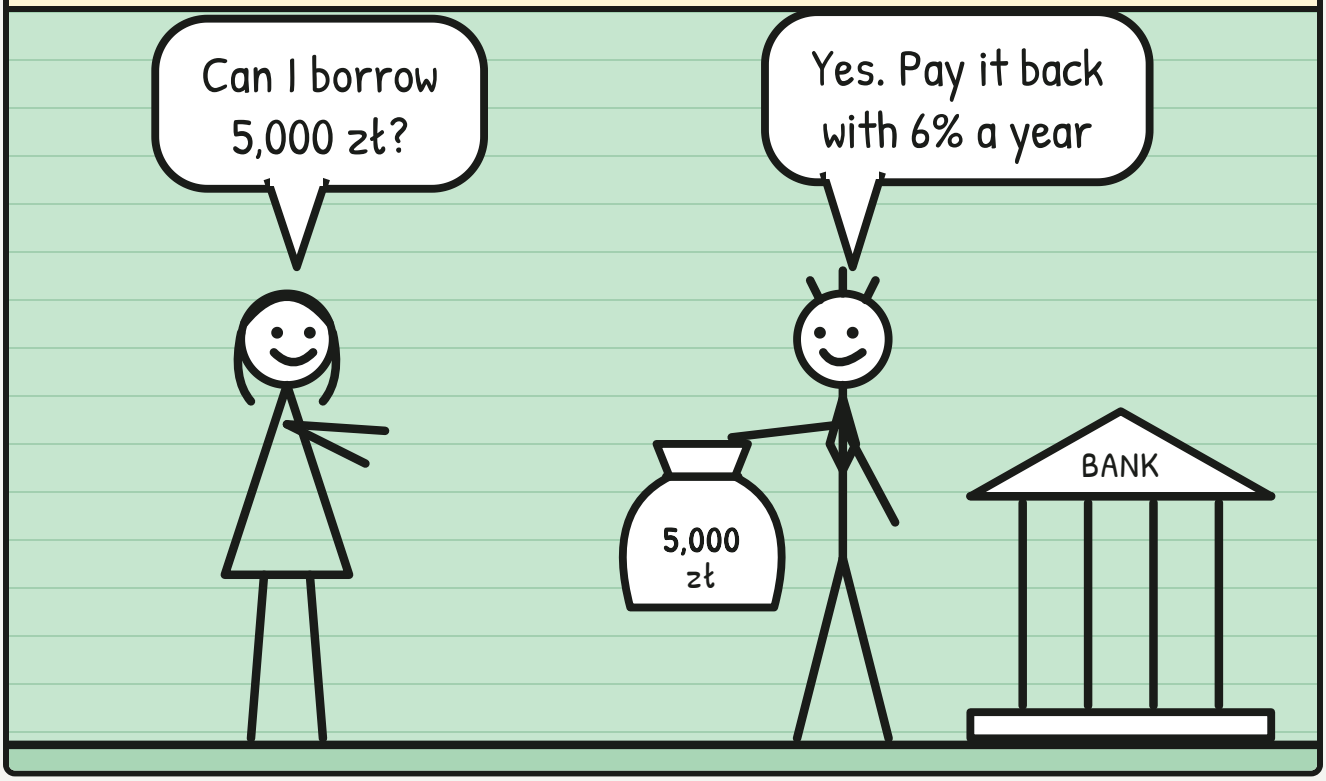
CASH FLOW

Financing +10,000

Borrowing from the bank

PRINCIPLE: DUAL ASPECT CONVENTION

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.



WHAT THE ACCOUNTANT WRITES

Dr	Cash	5,000
Cr	Bank loan	5,000

WATCH OUT

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue. And no interest is recorded today: interest builds up over time and is recorded at each month end (see strip 13).

WHERE IT LANDS

BALANCE SHEET

Cash +5,000 · Bank loan +5,000

INCOME STATEMENT

no change

CASH FLOW

Financing +5,000

Buying the espresso machine

PRINCIPLE: HISTORIC COST CONVENTION

Day 3. Ania finds a good second-hand espresso machine on Allegro and pays 6,000 zł from the cart's account.



WHAT THE ACCOUNTANT WRITES

Dr Equipment	6,000
Cr Cash	6,000

WATCH OUT

Don't record it at what you think it's worth ("it's a bargain, really 8,000"). Record what you paid.

WHERE IT LANDS

BALANCE SHEET

Cash −6,000 · Equipment (PPE) +6,000

INCOME STATEMENT

no change

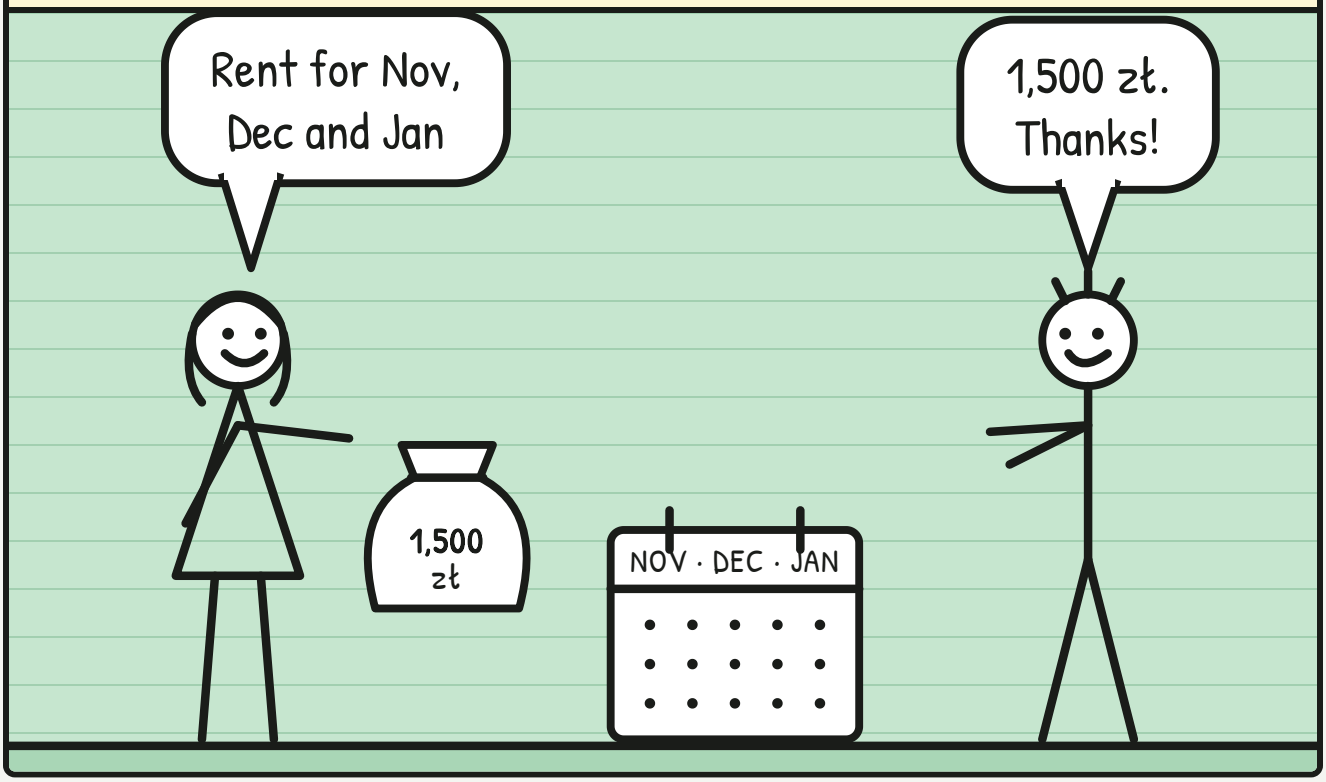
CASH FLOW

Investing −6,000

Paying rent three months ahead

PRINCIPLE: ACCRUALS CONVENTION

Day 4. The landlord wants rent for November, December and January up front: 1,500 zł in total.



WHAT THE ACCOUNTANT WRITES

Dr Prepaid rent	1,500
Cr Cash	1,500

WATCH OUT

Booking all 1,500 zł as November rent would make November look worse and January look better than they really are.

WHERE IT LANDS

BALANCE SHEET

Cash −1,500 · Prepaid rent +1,500

INCOME STATEMENT

no change

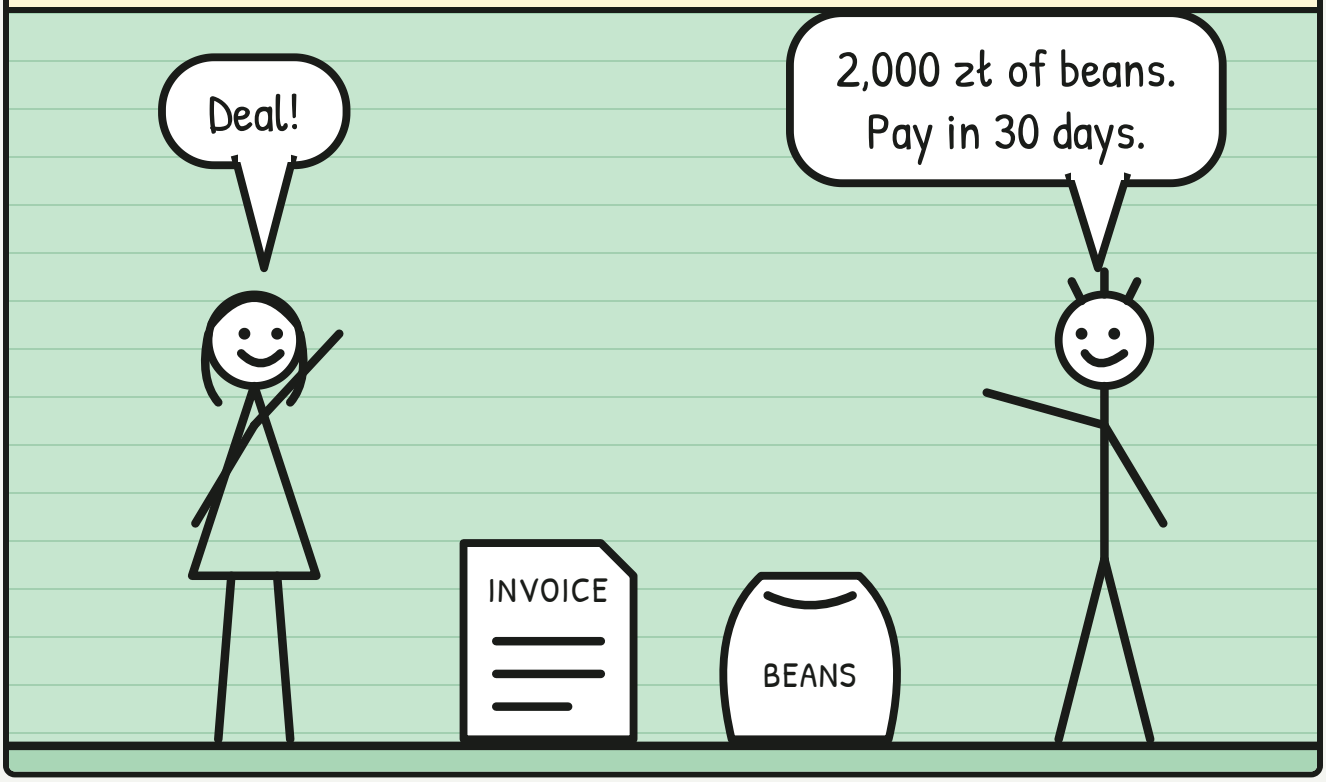
CASH FLOW

Operating −1,500

Buying beans on credit

PRINCIPLE: DUAL ASPECT CONVENTION

Day 5. A roaster delivers 2,000 zł of coffee beans. Ania can pay within 30 days.



WHAT THE ACCOUNTANT WRITES

Dr	Inventory	2,000
Cr	Trade payables	2,000

WATCH OUT

Beans on the shelf are not an expense yet. They become one only when they are used to make coffee that is sold.

WHERE IT LANDS

BALANCE SHEET

Inventory +2,000 · Trade payables +2,000

INCOME STATEMENT

no change

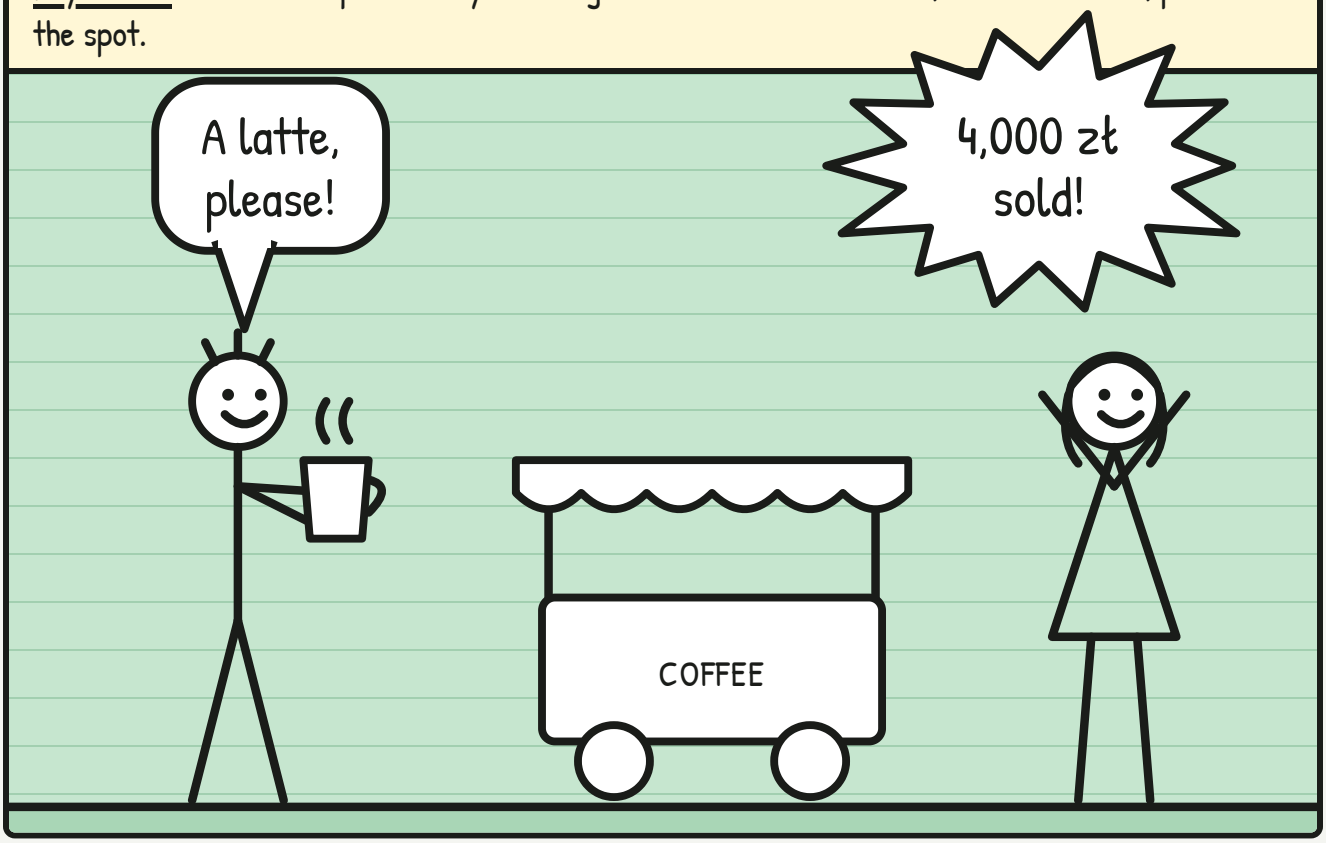
CASH FLOW

no cash moved

Selling coffee for cash

PRINCIPLE: REVENUE RECOGNITION + MATCHING CONVENTION

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee, paid on the spot.



WHAT THE ACCOUNTANT WRITES

Dr	Cash	4,000
Cr	Revenue	4,000
Dr	Cost of sales	1,200
Cr	Inventory	1,200

WATCH OUT

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

WHERE IT LANDS

BALANCE SHEET

Cash +4,000 · Inventory −1,200 · Retained earnings +2,800

INCOME STATEMENT

Revenue +4,000 · Cost of sales −1,200 → profit +2,800

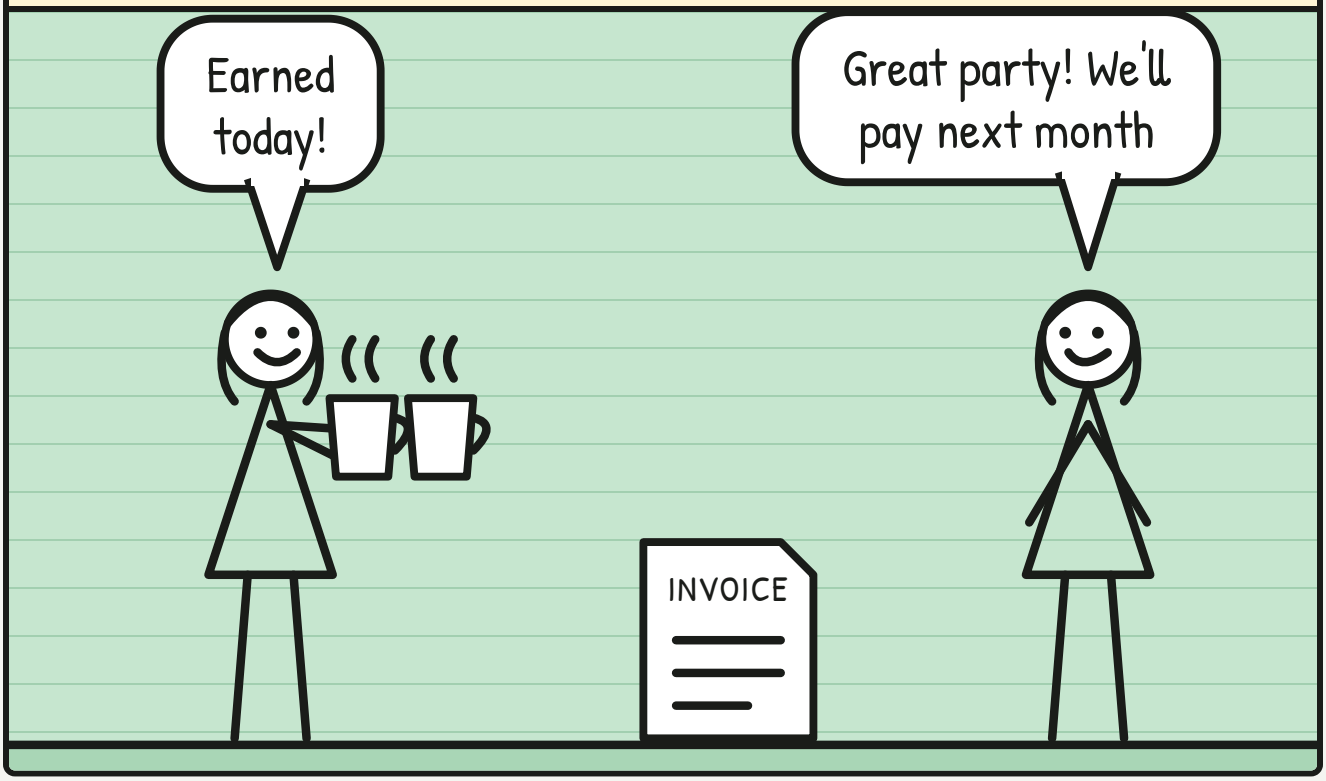
CASH FLOW

Operating +4,000

Catering an office party on credit

PRINCIPLE: REVENUE RECOGNITION

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today. The office will pay next month.



WHAT THE ACCOUNTANT WRITES

Dr	Trade receivables	1,000
Cr	Revenue	1,000
Dr	Cost of sales	300
Cr	Inventory	300

WATCH OUT

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.

WHERE IT LANDS

BALANCE SHEET

Trade receivables +1,000 · Inventory −300 · Retained earnings +700

INCOME STATEMENT

Revenue +1,000 · Cost of sales −300 → profit +700

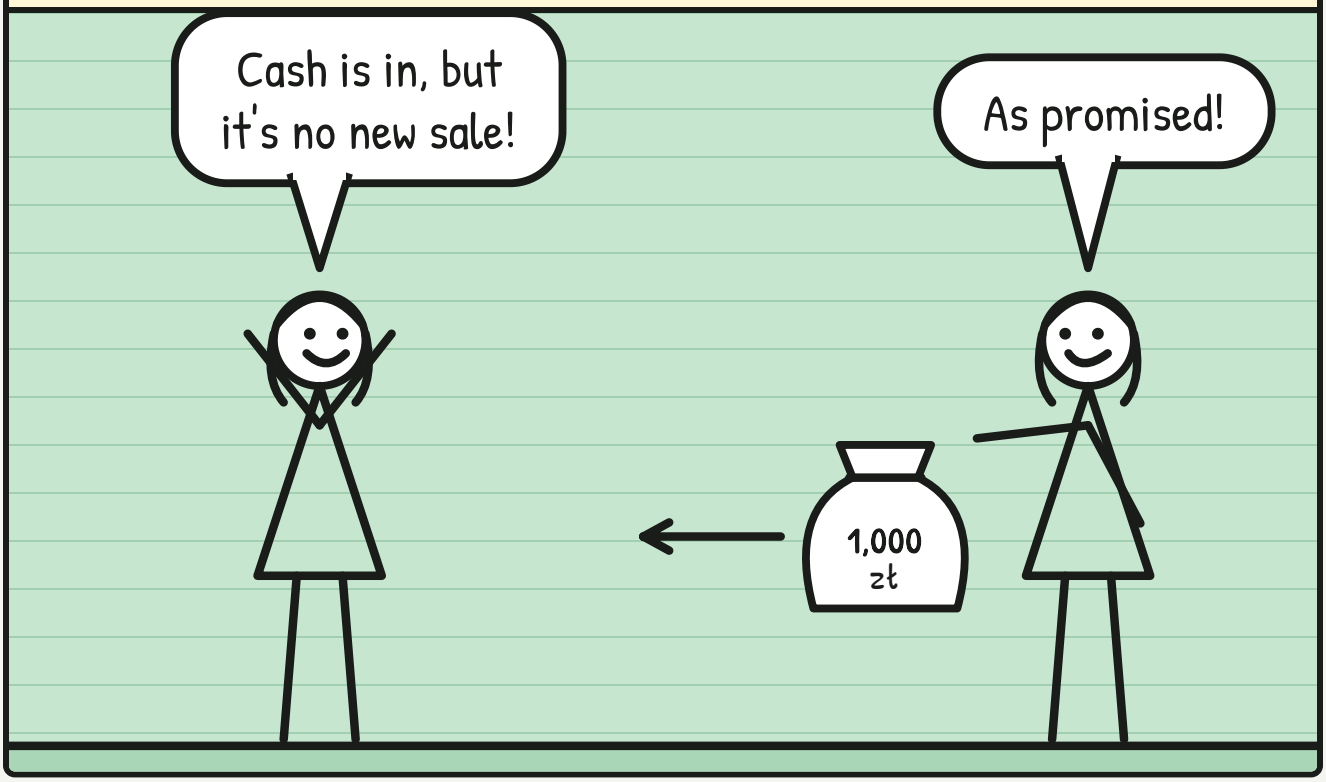
CASH FLOW

no cash moved

The office pays its bill

PRINCIPLE: REVENUE RECOGNITION

Day 28. The office pays the 1,000 zł catering bill early.



WHAT THE ACCOUNTANT WRITES

Dr	Cash	1,000
Cr	Trade receivables	1,000

WATCH OUT

Recording revenue again when the cash arrives would count the same party twice.

WHERE IT LANDS

BALANCE SHEET

Cash +1,000 · Trade receivables −1,000

INCOME STATEMENT

no change

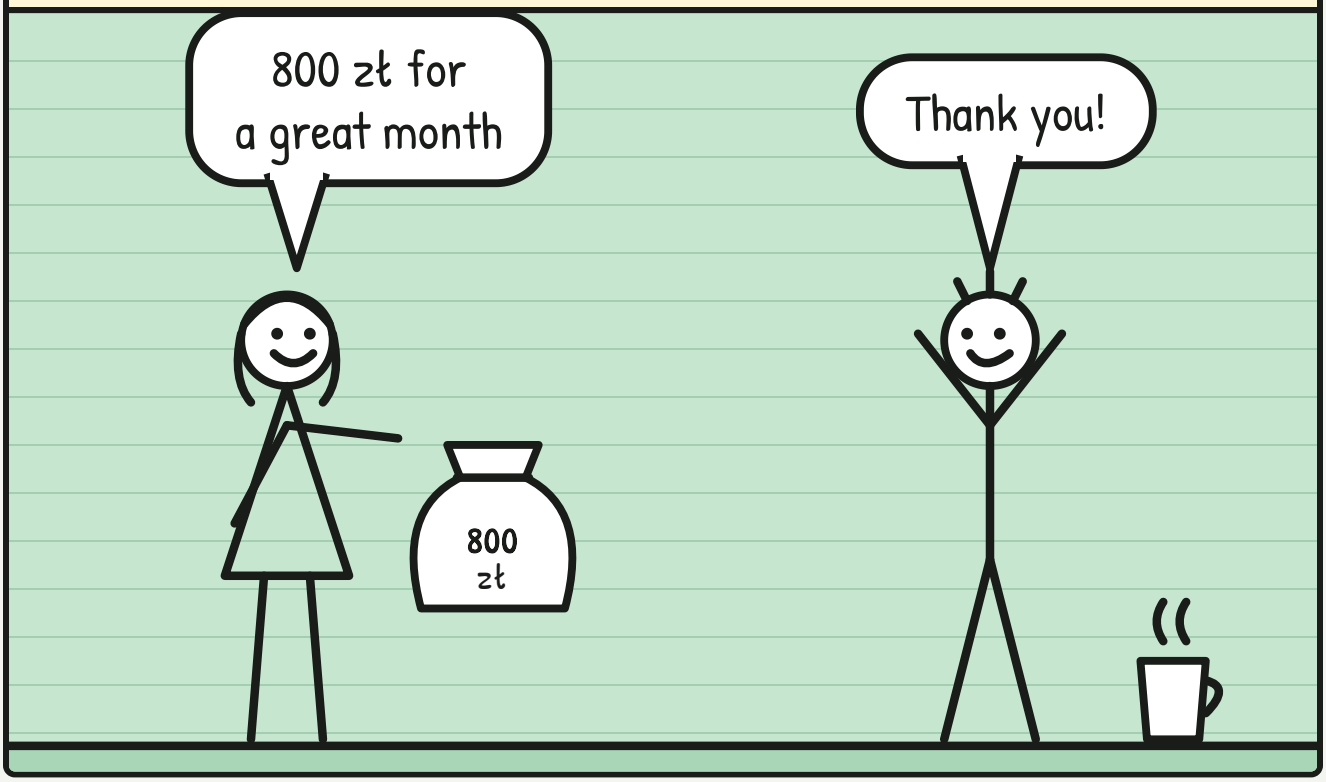
CASH FLOW

Operating +1,000

Paying the barista

PRINCIPLE: MATCHING CONVENTION

Day 30. Ania's part-time barista, Tomek, worked all month. She pays him 800 zł.



WHAT THE ACCOUNTANT WRITES

Dr	Wages expense	800
Cr	Cash	800

WATCH OUT

Paying Ania herself is different: money the owner takes out is a withdrawal of equity, not a wage expense.

WHERE IT LANDS

BALANCE SHEET

Cash −800 · Retained earnings −800

INCOME STATEMENT

Wages expense −800 → profit −800

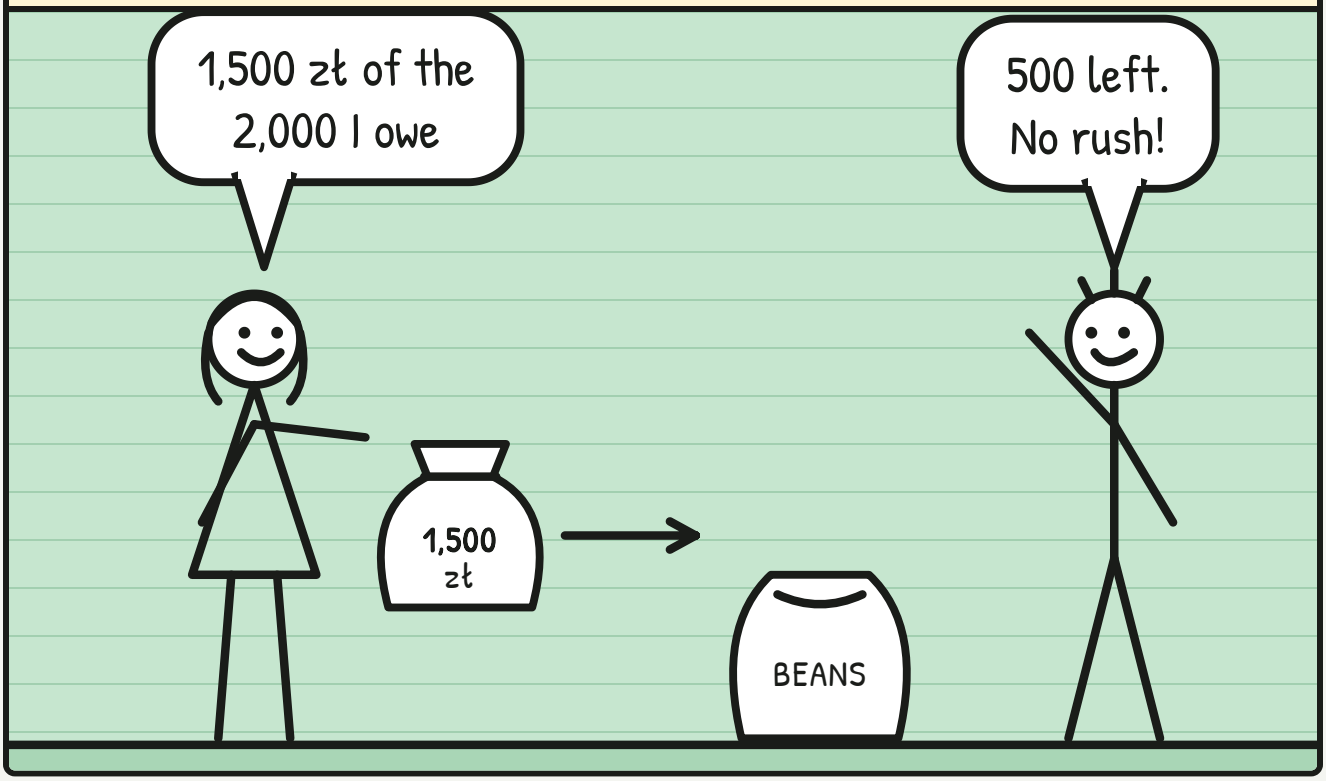
CASH FLOW

Operating −800

Paying part of the bean bill

PRINCIPLE: DUAL ASPECT CONVENTION

Day 30. Ania pays the roaster 1,500 zł of the 2,000 zł she owes. 500 zł is still to pay.



WHAT THE ACCOUNTANT WRITES

Dr	Trade payables	1,500
Cr	Cash	1,500

WATCH OUT

Paying a bill is not the same as having an expense. The expense happened when the beans were used.

WHERE IT LANDS

BALANCE SHEET

Cash −1,500 · Trade payables −1,500

INCOME STATEMENT

no change

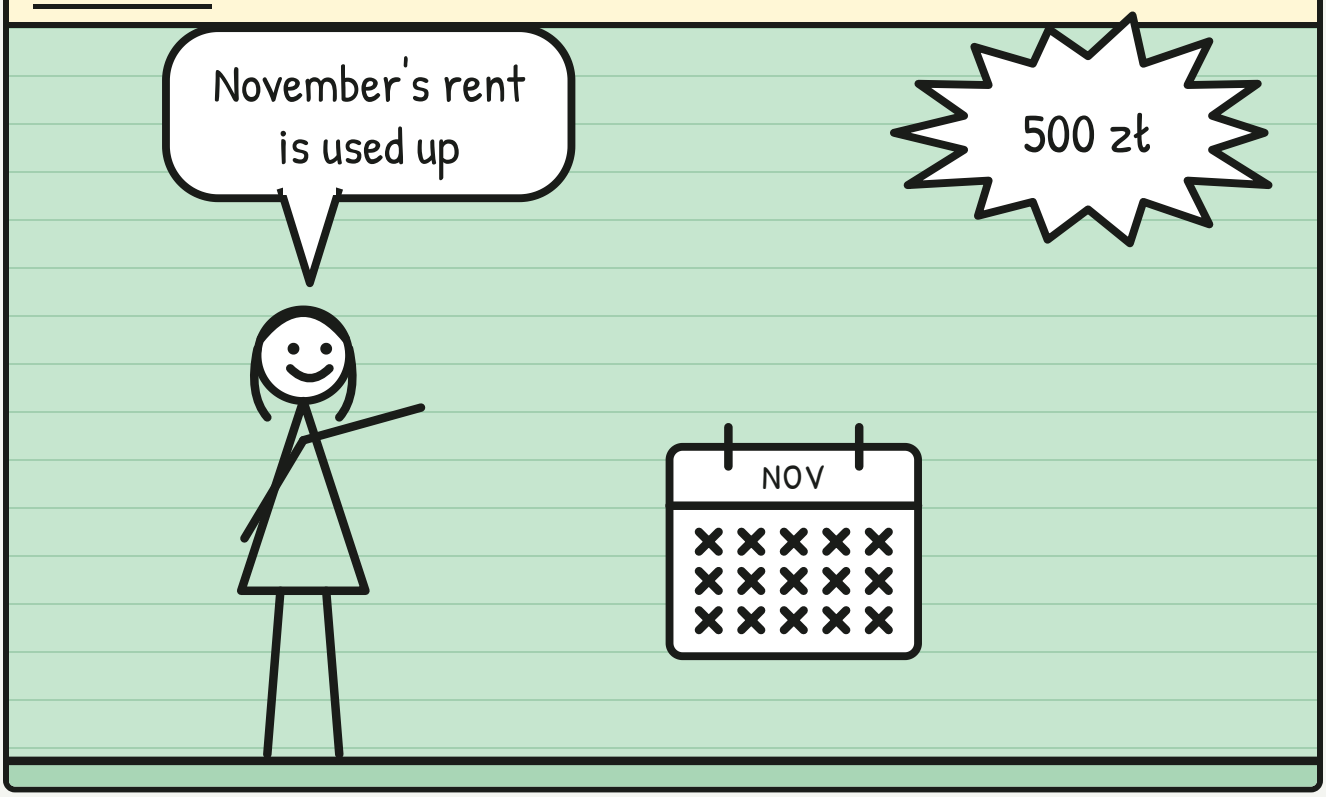
CASH FLOW

Operating −1,500

Month end: using up a month of rent

PRINCIPLE: REPORTING PERIOD (ADJUSTING ENTRY)

30 November. The month is over. Ania sits down to close the books.



WHAT THE ACCOUNTANT WRITES

Dr	Rent expense	500
Cr	Prepaid rent	500

WATCH OUT

Adjusting entries never involve cash. They fix the timing so each month shows what really belongs to it.

WHERE IT LANDS

BALANCE SHEET

Prepaid rent −500 · Retained earnings −500

INCOME STATEMENT

Rent expense −500 → profit −500

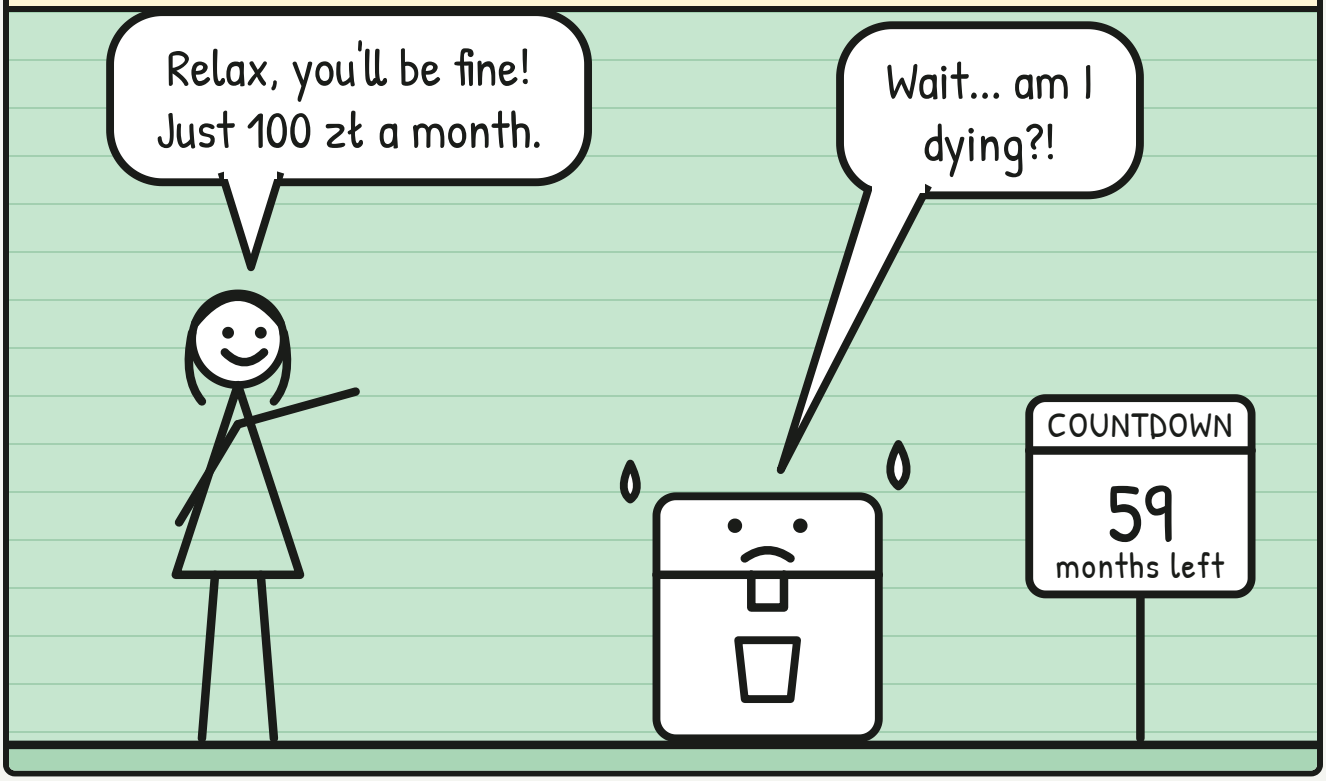
CASH FLOW

no cash moved

The machine wears out a little

PRINCIPLE: MATCHING + GOING CONCERN CONVENTIONS

30 November. The espresso machine should last about 5 years (60 months), then it will be worth nothing.



WHAT THE ACCOUNTANT WRITES

Dr	Depreciation expense	100
Cr	Accumulated depreciation	100

WATCH OUT

Depreciation uses no cash. That's why profit and cash are different numbers. And the machine is fine: “worth zero on paper” after 5 years doesn't mean it stops making coffee.

WHERE IT LANDS

BALANCE SHEET

Accumulated depreciation −100 · Retained earnings −100

INCOME STATEMENT

Depreciation expense −100 → profit −100

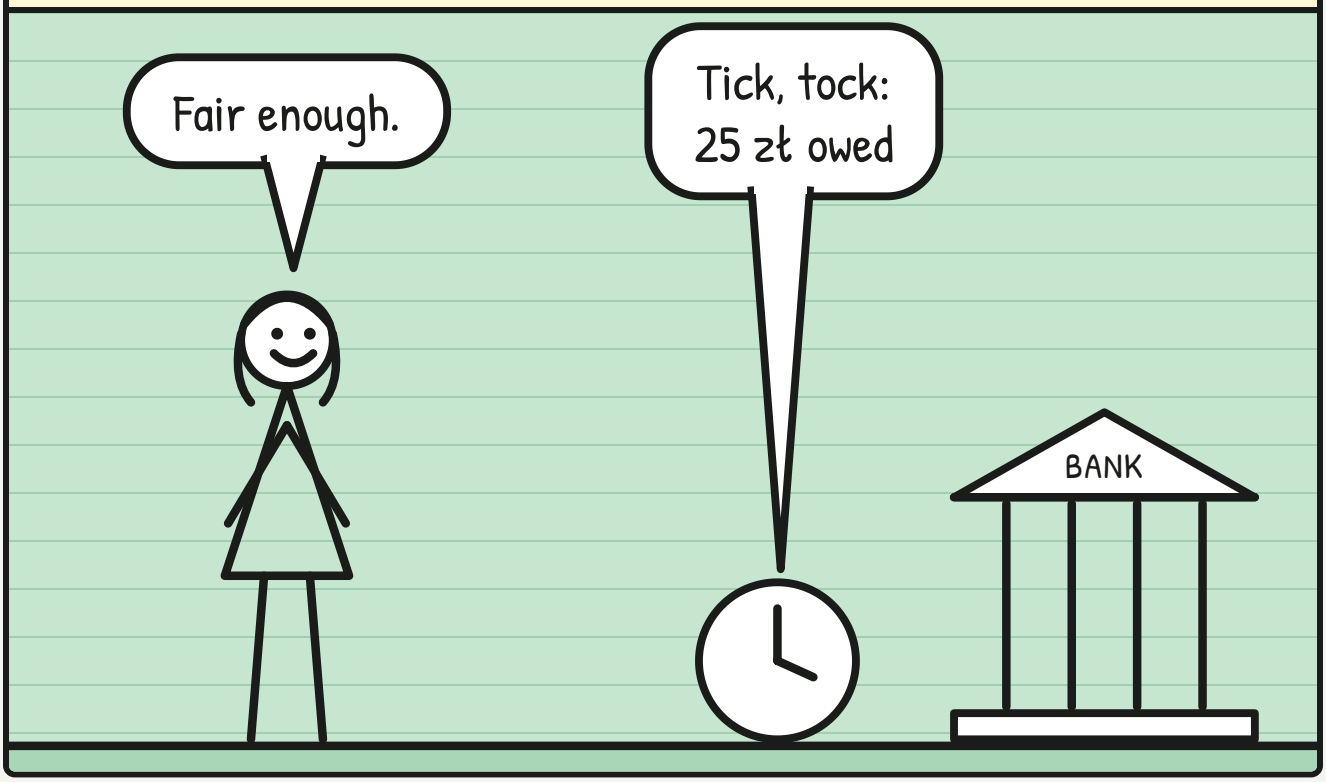
CASH FLOW

no cash moved

Interest builds up on the loan

PRINCIPLE: ACCRUALS CONVENTION

30 November. The bank only collects interest later, but every day of the loan costs a little.



WHAT THE ACCOUNTANT WRITES

Dr	Interest expense	25
Cr	Accrued interest	25

WATCH OUT

Ignoring costs until the bill arrives would make this month look more profitable than it was.

WHERE IT LANDS

BALANCE SHEET

Accrued interest +25 · Retained earnings −25

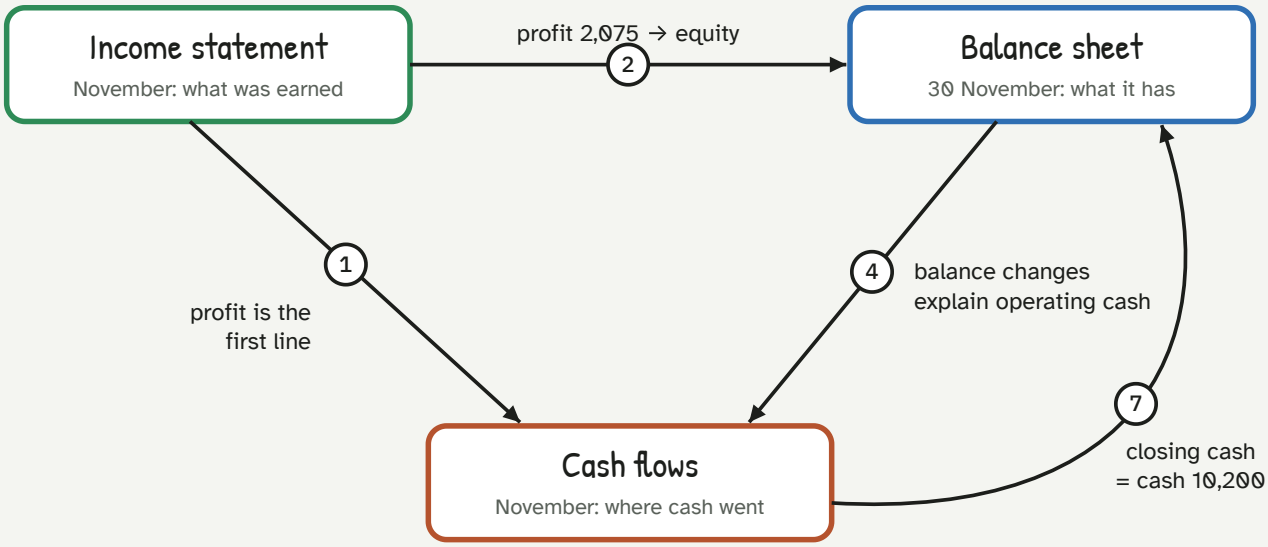
INCOME STATEMENT

Interest expense −25 → profit −25

CASH FLOW

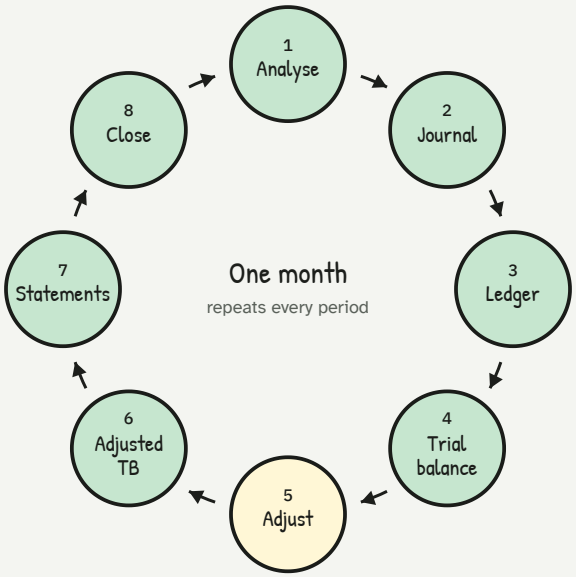
no cash moved

How they connect



1. **Profit starts the cash story.** The statement of cash flows opens with the 2,075 zł profit and then corrects it for everything that was not cash.
2. **Profit belongs to the owner.** The same 2,075 zł is added to equity: 10,000 capital + 2,075 profit = 12,075 zł. In a company this line is retained earnings, after any dividends.
3. **Depreciation is a cost without cash.** The 100 zł lowers profit, so it is added back in cash flows. On the other side it builds up as accumulated depreciation, so the machine shows 5,900 zł.
4. **Balance changes explain the gap.** Cash went into beans (500) and rent paid ahead (1,000), while some bills are still unpaid (525). Together they turn 2,175 into 1,200 zł of operating cash.
5. **Buying long-lasting assets is investing.** The 6,000 zł machine is a cash outflow and appears as equipment on the balance sheet.
6. **Owner and bank money is financing.** The 10,000 zł from Ania and the 5,000 zł loan come in as cash and appear as capital and debt.
7. **Closing cash must match.** 10,200 zł at the end of the cash flow statement equals cash on the balance sheet. This is the first check an accountant makes.

Accounting cycle



1. **Analyse the transaction**
   Beans arrive on credit (strip 5): inventory, an asset, goes up; trade payables, a liability, go up.
2. **Record it in the journal**
   Dr Inventory 2,000 / Cr Trade payables 2,000.
3. **Post to the ledger**
   After strip 10 the cash account shows 10,200 zł.
4. **Unadjusted trial balance**
   Debits 20,500 = credits 20,500.
5. **Adjusting entries**
   Rent used 500, depreciation 100, interest 25 (strips 11–13).
6. **Adjusted trial balance**
   Debits 20,625 = credits 20,625.
7. **Prepare the statements**
   Profit 2,075 zł; total assets 17,600 zł; closing cash 10,200 zł.
8. **Close the period**
   2,075 zł moves into Ania's equity. December starts again at step 1.

Ania's trial balance: debits = credits at every stage

Before adjusting (after strip 10)	20,500 = 20,500
Month-end adjustments: rent, depreciation, interest	625 = 625
After adjusting	**20,625 = 20,625**

Before adjusting, November's profit looks like 2,700 zł; after the three adjustments it is 2,075 zł. Debits equal credits in every column.

Easy to mix up

- "Taking a loan is income"
  Actually: It's a liability: the money must be paid back.
- "Interest is recorded on the day you borrow"
  Actually: It builds up over time and is recorded month by month.
- "A loan repayment is an expense"
  Actually: Only the interest part is. Repaying the principal just reduces the debt.
- "Buying a machine is an expense"
  Actually: It's an asset. Its cost is spread over the years as depreciation.
- "Buying stock is an expense"
  Actually: It's inventory until it's sold. Then it becomes cost of sales.
- "Paying a bill is when the expense happens"
  Actually: The expense happens when something is used up. Paying just settles the debt.
- "A customer's deposit is revenue"
  Actually: It's a liability until you deliver. Then it becomes revenue.
- "VAT on a sale is revenue"
  Actually: It's collected for the tax office. Revenue is the amount without VAT.
- "Profit means cash in the bank"
  Actually: Ania's profit: 2,075 zł. Her operating cash: 1,200 zł.
- "Depreciation saves money for a new machine"
  Actually: It's only an entry. No cash moves and no savings pot appears.
- "The owner's own pay is a wage expense"
  Actually: For a sole trader it's a drawing: it reduces equity, not profit.
- "Credit on my bank statement = credit in my books"
  Actually: The bank writes from its side. Money arriving is a debit to Cash in your books.

The statements

INCOME STATEMENT

November

Performance over the month

Revenue	5,000
Cost of sales	(1,500)
Gross profit	**3,500**
Rent expense	(500)
Wages expense	(800)
Depreciation	(100)
Interest expense	(25)
Profit for the period	**2,075**

STATEMENT OF CASH FLOWS

November

Where real cash came from and went

Operating activities	1,200
Investing activities	(6,000)
Financing activities	15,000
Net change in cash	**10,200**

Ends at cash on the balance sheet: 10,200 zł.

BALANCE SHEET

30 November

Snapshot on the last day. Official IFRS name: statement of financial position

ASSETS	
Cash	10,200
Trade receivables	0
Inventory	500
Prepaid rent	1,000
Equipment (PPE)	6,000
Accumulated depreciation	(100)
Total assets	**17,600**
LIABILITIES	
Trade payables	500
Accrued interest	25
Bank loan	5,000
Total liabilities	**5,525**
EQUITY	
Owner's capital	10,000
Retained earnings	2,075
Total equity	**12,075**
Liabilities + equity	**17,600**

✓ **Balanced: 17,600 = 17,600**